

Multiple Choice (10 marks)

1. If the market price is above the perfectly competitive firm's average total cost curve, we expect that in the long run,
 - (a) the industry contracts as firms exit the market.
 - (b) the industry expands as firms exit the market.
 - (c) the industry contracts as firms enter the market.
 - (d) the industry expands as firms enter the market.
2. Stagflation occurs when
 - (a) inflation falls and unemployment rises.
 - (b) inflation rises and unemployment falls.
 - (c) inflation and unemployment both rise.
 - (d) Inflation and output both rise.
3. The law of increasing costs is useful in describing
 - (a) a demand curve.
 - (b) a marginal benefit curve.
 - (c) a linear production possibility frontier.
 - (d) a concave production possibility frontier.
4. With the presence of a positive externality, which of the following would correct the externality?
 - (a) A government subsidy.
 - (b) A government tax.
 - (c) A higher price.
 - (d) A lower level of output.
5. Economics is a social science that
 - (a) is primarily concerned with money.
 - (b) is primarily concerned with how resources are used.
 - (c) relies solely on the scientific method for analysis.
 - (d) is primarily concerned with maximizing spiritual well-being.

True / False (10 marks)

Answer True or False

6. True or False: The International Space Station is an example of a public good because it is non-excludable and non-rivalrous.
7. True or False: Spending \$50.00 at a restaurant is classified under consumption when calculating GDP.
8. True or False: A budget deficit exists when the total amount that the government owes is positive.
9. True or False: The simultaneous use of expansionary fiscal and monetary policies will lead to a dramatic decrease in inflation.
10. True or False: In an oligopoly, price is equal to marginal revenue, similar to perfect competition.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the concept of a price ceiling in economics. How does its placement below the equilibrium price impact market outcomes such as supply, demand, and consumer behavior?
12. Discuss the effects of an increase in the money supply on the money market, focusing on the relationship between money demand and nominal interest rates.

End of Paper